

TABLE 4.3 Compound Annual Growth Rates for All Historical Price-to-Value Ratios (1964 to 2011)

	Enterprise Multiple					
	EBITDA Variation	EBIT Variation	Price-to- Earnings	Enterprise Value-to- Free Cash Flow	Enterprise Value- to-Gross Profit	Price- to-Book Value
S&P 500 TR	9.5%					
Value	13.7%	14.6%	12.4%	11.7%	13.5%	13.1%
Glamour	7.6%	7.1%	7.8%	9.1%	7.4%	8.6%
Value Premium	6.2%	7.5%	4.7%	2.6%	6.1%	4.5%

Data Source: Wesley Gray and Tobias Carlisle. *Quantitative Value: A Practitioner's Guide to Automating Intelligent Investment and Eliminating Behavioral Errors*. (Hoboken: Wiley Finance) 2012.

TABLE 4.4 Relative Volatility and Volatility Adjusted Returns for Value Decile of Each Historical Price-to-Value Ratio (1964 to 2011)

	Enterprise Multiple					
	EBITDA Variation	EBIT Variation	Price-to- Earnings	Enterprise Value-to- Free Cash Flow	Enterprise Value- to-Gross Profit	Price- to-Book Value
Standard Deviation Relative to S&P500 TR	1.14	1.13	1.16	1.08	1.21	1.14
Downside Deviation Relative to S&P500 TR	1.08	1.06	1.14	1.03	1.21	1.04
Sharpe Ratio	0.53	0.58	0.46	0.44	0.50	0.50
Sortino Ratio (MAR=5%)	0.82	0.89	0.68	0.68	0.73	0.80

Data Source: Wesley Gray and Tobias Carlisle. *Quantitative Value: A Practitioner's Guide to Automating Intelligent Investment and Eliminating Behavioral Errors*. (Hoboken: Wiley Finance) 2012.